

Arkline Investments Fund

Investor Update #1 2026

This 2026 Investor Update #1 provides an overview of the Arkline Investment Fund and its two current portfolio strategies: “Opportunistic” and “Quant - Value”.

The Fund overall is designed to deliver consistent, absolute returns while prioritizing capital preservation and long-term growth. It offers a diversified structure across an initial two complementary strategies - Opportunistic and Quant Value - each tailored to different investment horizons and risk preferences.

However, both strategies utilise a value-driven investment philosophy and target a return of at least 15% per annum by striving to identify and capture opportunities and mispriced securities across varying market conditions. Through active management, rigorous analysis, and continuous refinement, we seek to generate sustainable returns while prudently managing risk on behalf of our investors.

This update details the investment approach for each strategy, reviews recent performance, and clarifies the most appropriate basis for evaluating results.

Fund Strategies

1. Opportunistic Strategy

The Opportunistic Strategy is a pure value strategy focused on identifying temporary mismatches between market price and underlying security value. The portfolio seeks to take advantage of short-term dislocations where quality opportunities become available at prices below intrinsic value. Holdings are generally maintained for between 1 and 12 months, reflecting the shorter-term trading cycle of this strategy.

2. Quant - Value Strategy

The Quant - Value Strategy is a classic value-based approach focused on identifying excellent companies with strong operating histories and comparatively low-risk future earnings prospects. This portfolio is designed for longer-term compounding and typically holds investments for at least 3 to 5 years, with sales expected to be relatively infrequent. It is based on a proprietary algorithm that evaluates a wide range of business fundamentals (both historical and recent) to select investment targets, which are then reviewed by the analysis team to add another layer of risk management and to ensure each investment meets asset allocation and future potential earnings targets.

Performance Update

Opportunistic Strategy Performance

The Opportunistic Strategy generated strong gains through the first three quarters of 2025, reaching approximately 30% before a period of significant market instability in the final quarter materially affected performance.

This drawdown was further amplified by a small number of experimental investments made outside the strategy’s pre-established guidelines, resulting in a significant decline by year-end. Since the first quarter of 2026, however, the strategy has recovered a substantial portion of those losses and is currently up approximately 14% YTD.

Importantly, when performance is assessed excluding holdings outside the main strategy guidelines, the strategy delivered returns of around 32% in 2025. This comparison reinforces the effectiveness of the core Opportunistic framework and highlights the importance of maintaining disciplined adherence to established (and tested) portfolio parameters, even as we continue to research and test additional value-oriented opportunities outside the existing strategies.

An analysis of realised 2025 returns further reinforces this conclusion. Across the year, holdings within the pre-established guidelines materially outperformed the broader set when viewed through the lens of strategy consistency and drawdown control. While all holdings experienced significant volatility in the final quarter of 2025, the guideline-compliant portfolio remained meaningfully more resilient, finishing the year with realised gains of approximately 32.2% of year-end NAV, compared with approximately 7.5% for the full set of holdings. The divergence was most evident in September and November 2025, when investments outside the guidelines contributed to sharp realised losses. This comparison provides strong evidence that the original Opportunistic framework was effective, and that maintaining discipline within established strategy parameters is critical to preserving returns.

Month (2025)	Realised Gains % of NAV (All Holdings)	Realised Gains % of NAV (Within Guidelines)
Jan-25	1.0%	0.8%
Feb-25	5.9%	5.8%
Mar-25	7.6%	6.7%
Apr-25	6.4%	3.2%
May-25	12.0%	7.0%
Jun-25	4.4%	5.0%
Jul-25	9.8%	7.4%
Aug-25	4.5%	6.3%
Sep-25	-12.7%	2.6%
Oct-25	3.2%	2.2%
Nov-25	-32.1%	-5.6%
Dec-25	7.5%	4.4%

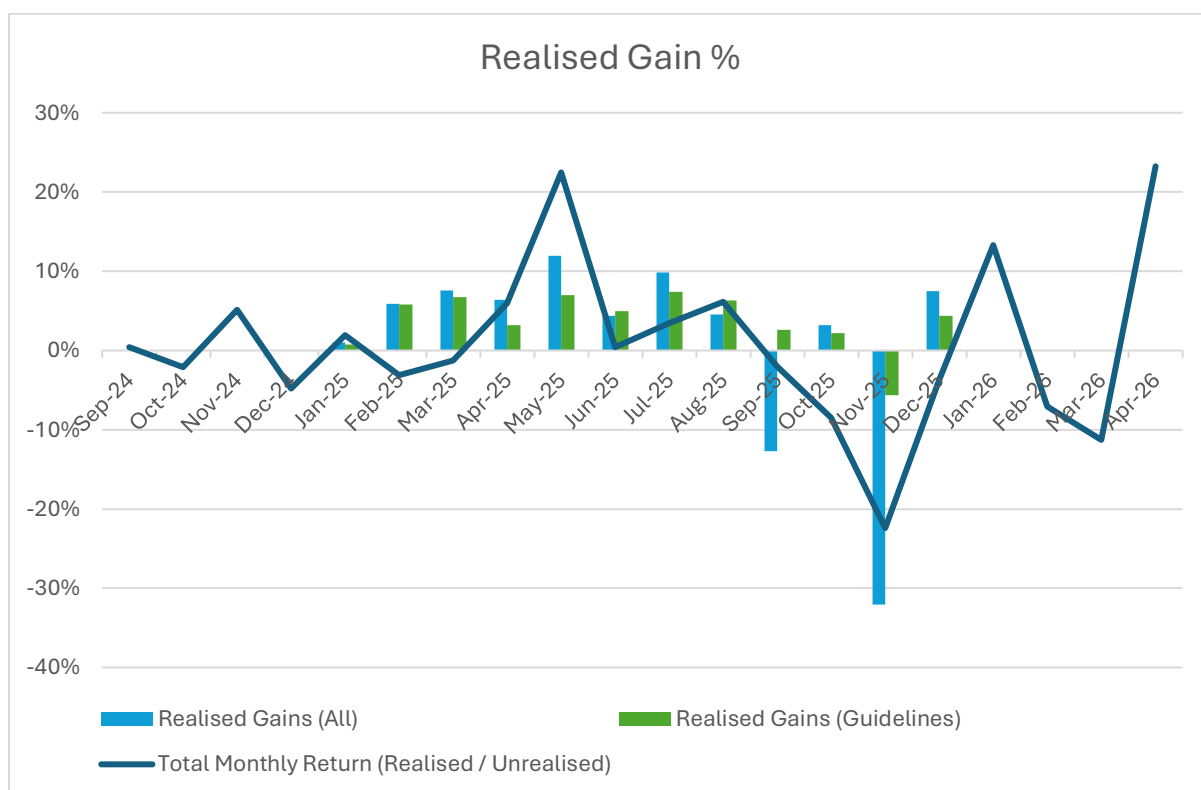


Figure 1. Monthly return profile for the Opportunistic Strategy, illustrating the strong mid-2025 advance, the sharp drawdown in the final quarter of 2025, and the beginning of recovery in 2026.

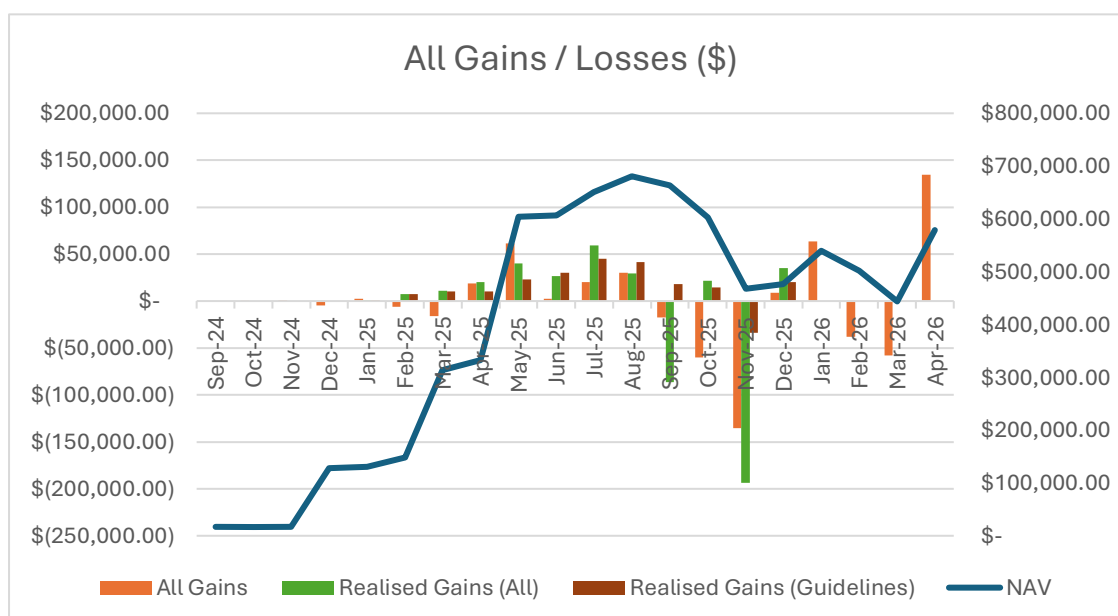


Figure 2. Cumulative performance of the Opportunistic Strategy relative to the benchmark, highlighting the strategy's strong mid-period gains, subsequent late-2025 reversal, and partial recovery through April 2026.

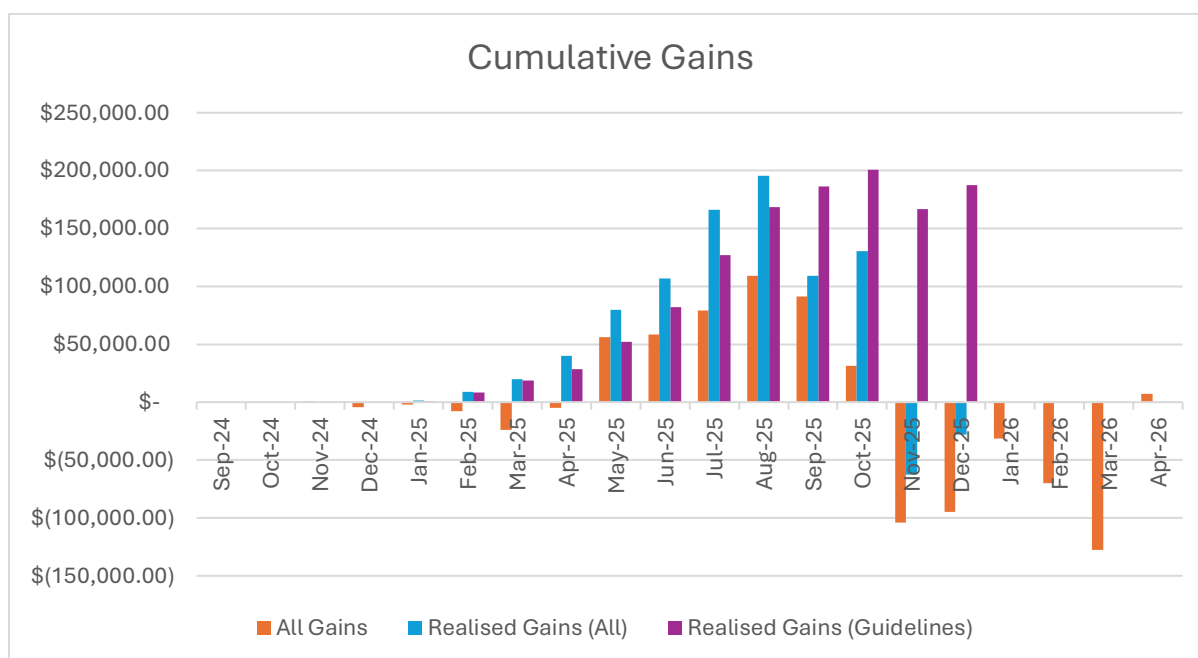


Figure 3. Comparison of realised gains as a percentage of NAV for all holdings versus guideline-compliant holdings during 2025, showing the greater resilience of the original strategy framework during periods of market stress.

The Opportunistic Strategy exhibited both the return potential and volatility characteristic of a shorter-duration value approach. Following a mixed conclusion to 2024, performance in early 2025 was relatively modest before strengthening materially through the middle of the year, with particularly strong gains recorded in May and continued progress through August. This positive momentum reversed in the final quarter of 2025, when heightened market instability, together with investments made outside the strategy’s established guidelines, contributed to a sharp drawdown, most notably in October and November. Since then, performance has begun to recover, with strong rebounds in January and April 2026 demonstrating the strategy’s ability to recapture value as market conditions stabilise. Taken together, the results support the underlying strength of the Opportunistic process while underscoring the importance of disciplined execution within its original investment parameters.

Quant - Value Strategy Performance

The Quant - Value Strategy continued to perform reliably through the market turbulence experienced in the final quarter of 2025, demonstrating the resilience typically associated with a longer-term, quality-focused value portfolio. The strategy delivered returns of more than 17% for the year and has generated in excess of 20% since inception. Its comparatively stable performance during a volatile period reflects the strength of its emphasis on excellent businesses, consistent operating histories, and lower-risk future earnings prospects. As a long-duration strategy with relatively low portfolio turnover, Quant - Value remains well positioned to compound value steadily over time.

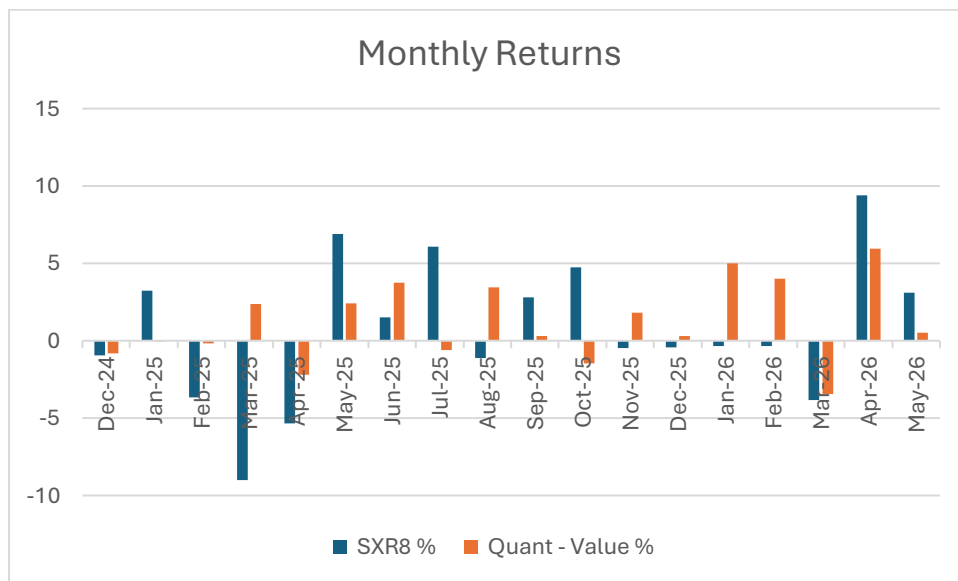
Over the period from December 2024 through May 2026, the **Quant Value** strategy generated a **cumulative return of approximately +22.7%**, materially outperforming the **SXR8 benchmark**, which delivered a cumulative return of **approximately +11.0%** over the same timeframe. Performance was driven by consistent alpha generation across multiple market environments, particularly during periods of heightened volatility when the strategy's valuation discipline and stock selection added meaningful downside protection. Notable relative outperformance occurred during equity market drawdowns in early 2025 and again through late 2025 and early 2026.

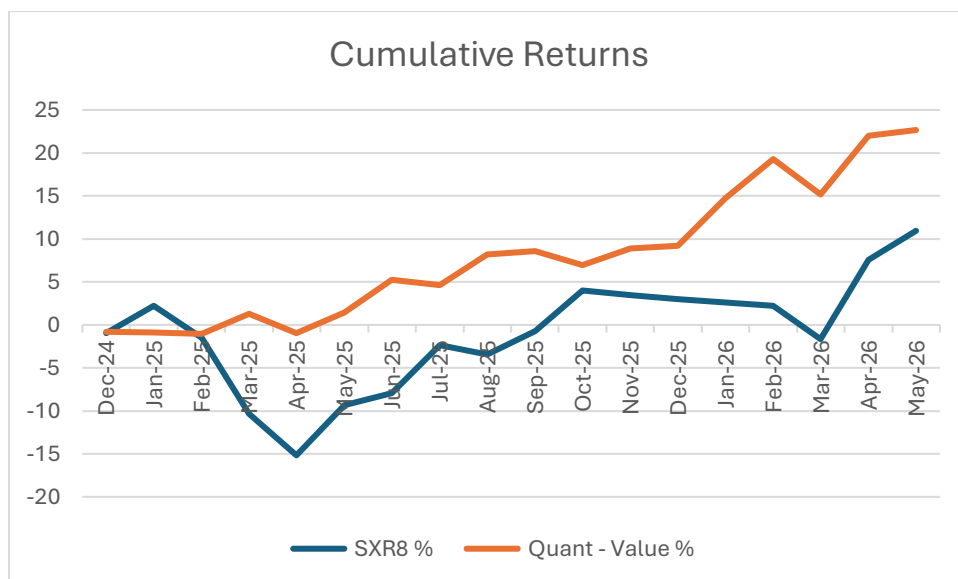
More recently, the strategy continued to participate in the market recovery, delivering a positive return of **+0.54% in May 2026**, following a strong **+5.95% gain in April 2026**. While the portfolio has lagged during certain sharp benchmark rallies, this reflects its structural bias towards attractively valued stocks and disciplined risk controls. Overall, cumulative performance underscores the strategy's ability to compound returns over time and deliver differentiated outcomes versus the benchmark, consistent with its long-term objective of generating excess returns from systematic value exposure within US-listed equities.

Monthly Quant Value Returns

Date	SXR8 %	Quant - Value %
Dec-24	-0.96	-0.82
Jan-25	3.22	-0.03
Feb-25	-3.64	-0.19
Mar-25	-9	2.36
Apr-25	-5.36	-2.19
May-25	6.88	2.41

Jun-25	1.5	3.75
Jul-25	6.09	-0.62
Aug-25	-1.11	3.43
Sep-25	2.81	0.3
Oct-25	4.74	-1.45
Nov-25	-0.49	1.79
Dec-25	-0.45	0.3
Jan-26	-0.36	5.01
Feb-26	-0.36	3.99
Mar-26	-3.83	-3.44
Apr-26	9.41	5.95
May-26	3.12	0.54





Evaluation Methodology

It is important to evaluate each strategy using the metric most appropriate to its investment process. The Opportunistic Strategy should primarily be assessed on realised gains due to the nature of its trading cycle: positions are often accumulated while share prices are falling and sold as prices recover toward true value. As a result, unrealised performance may at times appear suppressed due to timing effects rather than underlying investment quality. By contrast, the Quant - Value Strategy should be assessed primarily on unrealised returns, given its long-term holding period and the relatively rare sale of existing positions. This provides a more accurate reflection of the strategy's ongoing value creation.

Conclusion

Overall, the Arkline Investments Fund reflects two distinct but complementary value-oriented strategies: one designed to capitalise on shorter-term market dislocations, and the other to compound value steadily over the longer term. Together, they provide investors with differentiated exposure across both tactical and long-duration opportunities.